

AC2100 Marking Scheme

International Financial Reporting 1 · Winter 2023 · Paper 1

Examination Session and Year	Winter 2023
Module Code	AC2100
Module Title	International Financial Reporting 1
Paper Number	Paper 1
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Internal Examiners	Patricia Healy BBS (Hons), FCA, AITI, FCIS, CELT
Duration of Paper	1.5 hours
Special Requirements	All workings must be shown clearly. The use of a non-programmable calculator is permitted.

Instructions to Candidates (as per exam paper): Section A: Question 1 is compulsory. Section B: answer any one question from the two given.

Own-figure rule: where a candidate makes an error at an early stage of a multi-step numerical question, full method marks are awarded for correctly applying the required technique to their own (incorrect) figure in all subsequent steps. Marks are never cascaded away for a single early error.

Marking philosophy: this is a closed-book, time-pressured examination. Academic citations are never required. Discursive answers are marked on depth of explanation and application to the specific scenario, not generic textbook recall.

Question Overview

Question	Scenario	Topics	Marks
Q1 (compulsory)	Skincare Plc	Post year-end adjusting/non-adjusting events, IAS 8, IAS 10, IAS 20, IAS 37, IAS 38, IAS 40, redraft of financial statements	60
Q2 (Section B option)	EquipMate Limited	IAS 20 government grants (deferred income method, repayment), IAS 10 adjusting/non-adjusting events	40
Q3 (Section B option)	Soundwise Ltd & PharmaGem Ltd	IAS 16 revaluation model (elimination method), IAS 38 development costs and impairment, IAS 38 measurement models	40

QUESTION 1**Skincare Plc**

Total: 60 marks

Skincare Plc drafted its accounts for the year ended 31 December 2022 showing Total Assets of €330,000 and Total Equity & Liabilities of €330,000. Twelve pieces of new information (a)–(l), all material, are provided for consideration before the directors approve the accounts. Candidates are required to (i) explain the correct treatment of each item, including journal entries where relevant, and (ii) redraft the summarised financial statements incorporating all adjustments.

Part	Requirement	Marks
(i)	Explain treatment of items (a)–(l), with journal entries where relevant	48
(ii)	Redraft summarised financial statements in tabular format	12

Question 1(i)**48 marks**

Skincare Plc drafted its accounts for the year ended 31 December 2022. Twelve items of new material information (a)–(l) were released before the directors approved the accounts. Briefly explain how each of the above events should be dealt with in Skincare Plc's financial statements for the year ended 31 December 2022. Include journal entries where relevant. You may assume that all events above are material and ignore taxation.

Full Model Answer**(a) Regional office building – carrying value €125,000, sold 16 January 2023 for €95,000**

The property is carried under the IAS 16 revaluation model, so its carrying amount of €125,000 at 31 December 2022 already reflected fair value at that date. A sale two weeks later at €95,000 reflects a change in market conditions *after* the reporting date, not a condition that existed at 31 December 2022. This is a **non-adjusting event** under IAS 10. No adjustment is made to the 2022 figures; the sale and resulting loss are disclosed by way of note as a material non-adjusting subsequent event.

(b) Investment property fair value gain – €50,000

The adjacent premises, rented out as office space, is an investment property under IAS 40 and is correctly accounted for using the fair value model (it is not owner-occupied, so the IAS 16 revaluation model does not apply). Under the fair value model, the asset is remeasured to fair value at each year end with the **full gain or loss recognised in profit or loss** (not other comprehensive income). The asset was included at €95,000 (its fair value on initial recognition, 1 January 2022) and had not yet been revalued to its 31 December 2022 fair value of €145,000.

Journal – investment property fair value gain

Account	Dr (€)	Cr (€)
Non-current assets (investment property)		50,000
Retained earnings (fair value gain, P&L)		50,000

(c) Correction of cash sale error – understated by €90,000

A cash sale of €100,000 was recorded as €10,000, an error of €90,000 (€100,000 – €10,000). This is a prior period error under IAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*, discovered before the accounts are approved and relating to the current year, so it is corrected within the current year figures with no restatement of opening retained earnings required.

Journal – correct sale recorded in error

Account	Dr (€)	Cr (€)
Current assets (bank/cash)		90,000
Retained earnings (revenue)		90,000

(d) Customer bankruptcy – €70,000 written off

The customer owed €95,000 at the year end. Notification of bankruptcy was received 9 January 2023, with the liquidator confirming no payment will be made on the remaining balance of €70,000 owing as at 21 January 2023. This provides evidence of the recoverability of the receivable that existed at the reporting date and is therefore an **adjusting event** under IAS 10. The remaining balance of €70,000 is written off as irrecoverable.

Journal – irrecoverable debt write-off

Account	Dr (€)	Cr (€)
Retained earnings (bad debt expense)		70,000
Current assets (trade receivables)		70,000

Own-figure note: The €25,000 already collected between the year end and 21 January (€95,000 – €70,000) confirms partial recovery; only the irrecoverable €70,000 balance is written off. Candidates who write off the full €95,000 with clear, consistent reasoning receive own-figure credit.

Full Model Answer (continued)**(e) Proposed dividend – 5 cent per share on 800,000 shares**

Under IAS 10, dividends proposed or declared after the reporting period, but before the financial statements are authorised for issue, are **not recognised as a liability** at the reporting date, because no present obligation exists at year end — the obligation only arises once the dividend is approved by shareholders at the AGM. This is explicitly identified in IAS 10 as a non-adjusting event. No journal entry is made; the proposed dividend of €40,000 (800,000 shares × 5 cent) is disclosed by way of note only.

Note on dates: The paper's stated date for this proposal is after the 2022 reporting period, before approval of the accounts. Regardless of the precise date, the accounting conclusion is the same: a dividend proposed after the year end is never recognised as a year-end liability.

(f) Takeover bid of €200,000

A bid made for another company is a statement of intent, not a completed transaction, and creates no asset, liability, or obligation for Skincare Plc at this stage. **No journal entry is required.** This may be disclosed as a subsequent event/commitment in the notes if considered material to users, but no adjustment is made to the recognised figures.

(g) Legal proceedings – provision of €111,000

The underlying event (sale of a product containing an ingredient without regulatory approval) occurred before the year end, giving rise to a present obligation as a result of a past event. Legal advice indicates it is highly likely (probable) that a payment will be required, and the amount can be reliably estimated. All three recognition criteria under IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* are met, so a provision is recognised. As three distinct possible outcomes and probabilities are given, the best estimate is calculated using the **expected value** method:

Working – expected value of legal provision

Probability	Payment (€)	Expected value (€)
0.20	55,000	11,000
0.75	120,000	90,000
0.05	200,000	10,000
Total		111,000

Journal – recognise legal provision

Account	Dr (€)	Cr (€)
Retained earnings (legal expense)		111,000
Non-current liabilities (provision)		111,000

Judgement note: Since the probabilities given sum to exactly 1.00 and represent the full population of possible outcomes, the expected value method is applied. Candidates who instead select the single most likely outcome (€120,000, at 0.75 probability) as their best estimate, with clear reasoning, receive own-figure credit provided the treatment is applied consistently in part (ii).

(h) Provision for anticipated future sales decline – €180,000 reversed

Under IAS 37, a provision can only be recognised where there is a **present obligation** arising from a past obligating event. An anticipation that sales will fall because a competitor is entering the market is not a past obligating event — it reflects future operating conditions, not an existing obligation to any third party. This is a self-constructed provision for future operating losses that IAS 37 explicitly prohibits. The incorrectly recognised provision of €180,000 must be **reversed in full**.

Journal – reverse anticipated sales decline provision

Account	Dr (€)	Cr (€)
Current liabilities (provision)		180,000
Retained earnings		180,000

Full Model Answer (continued)**(i) Research expenditure - €20,000**

Under IAS 38, expenditure on the *research* phase of an internal project can never be capitalised, regardless of expected future benefit, because at the research stage an entity cannot demonstrate that a resulting intangible asset exists that will generate probable future economic benefits. Whether or not it has been amortised is irrelevant — it should never have been recognised as an asset in the first place. The €20,000 must be written off to profit or loss in full.

Journal - write off research costs

Account	Dr (€)	Cr (€)
Retained earnings (P&L expense)		20,000
Non-current assets (intangibles)		20,000

(j) Employment grant - €150,000

Under IAS 20 *Accounting for Government Grants*, a grant that compensates the entity for expenses already incurred (such as an employment grant, where the qualifying employment costs typically precede or coincide with the receipt), with all conditions attached to the grant already satisfied, is recognised as income immediately under the income approach, matched to the period in which the related costs are recognised — it should not be deferred as a liability. The company's own draft entry (debiting Bank and crediting Deferred Income for €250,000) is incorrect in two respects: the amount recorded (€250,000) does not match the €150,000 actually received, and a deferred income liability is not the appropriate treatment once all conditions have been met.

Journal - correct recognition of grant income

Account	Dr (€)	Cr (€)
Current assets (bank)		150,000
Retained earnings (grant income, P&L)		150,000

Judgement note: The draft entry recorded by the company is not carried forward as posted. Candidates who instead correct the company's draft entry from its recorded €250,000 deferred-income starting point (i.e. debit Deferred Income €250,000; credit Bank €100,000; credit Retained Earnings €150,000) arrive at an identical net effect on each figure in the redraft and receive full credit.

(k) Flood damage to inventory - occurred 12 January 2023

The flood occurred after the reporting date and there is no indication the inventory was already impaired or damaged at 31 December 2022. This is a **non-adjusting event** under IAS 10: the condition (flood damage) did not exist at the year end. No adjustment is made to the value of inventory in the 2022 financial statements. The event, including the €65,000 insurance recovery received on 19 February 2023, is disclosed by way of note as a material non-adjusting subsequent event.

(l) Development expenditure - €30,000

This expenditure meets the recognition criteria for an internally generated intangible asset under IAS 38: the project is technically feasible, management intends to complete it, sufficient resources exist to complete it (funds are confirmed available), a market for the products is expected to be profitable, and the expenditure is separately identifiable and reliably measured. Development is not yet complete at the year end, so the asset is not yet available for use and no amortisation is charged. **No adjustment is required** — the €30,000 is correctly capitalised within Non-Current Assets as already presented.

Judgement note: Candidates who instead argue this should be expensed (e.g. citing insufficient certainty at year end) receive own-figure credit provided the reasoning is consistent with IAS 38 criteria and applied correctly to part (ii).

Mark Allocation

Marks	Criteria
42-48	All twelve items correctly identified and explained with the correct IAS/IFRS reference, all required journal entries correct in account name, direction and amount, own-figure applied consistently.
33-41	Most items correctly treated with generally correct journals; minor errors in one or two items or in a small number of amounts, standard reasoning otherwise sound.
21-32	Core distinction between adjusting and non-adjusting events understood and applied to most items; several computational or classification errors, or a small number of items omitted.
10-20	Some relevant accounting knowledge shown (e.g. correct identification of at least 4-5 items) but limited application to the specific facts of the scenario; multiple errors in journals.
0-9	Minimal or no correct treatment of the items; generic or irrelevant commentary only.

Question 1(ii)**12 marks**

Redraft the summarised financial statements of Skincare Plc, taking account of each of the above items, in tabular format.

Full Model Answer**Redrafted Statement of Financial Position as at 31 December 2022**

Line item	Draft (€)	Adjustments (€)	Redrafted (€)
Non-current assets	295,000	30,000	325,000
Current assets	35,000	170,000	205,000
Total assets	330,000	200,000	530,000
Called-up share capital	120,000	0	120,000
Share premium	12,500	0	12,500
Retained earnings	67,500	269,000	336,500
Total equity	200,000	269,000	469,000
Non-current liabilities	95,000	111,000	206,000
Current liabilities	35,000	(180,000)	(145,000)
Total liabilities	130,000	(69,000)	61,000
Total equity and liabilities	330,000	200,000	530,000

Reconciliation note: The Statement of Financial Position balances: Total Assets of €530,000 equals Total Equity and Liabilities of €530,000. The redrafted Current Liabilities figure of (€145,000) arises because the draft Current Liabilities of €35,000 was far less than the €180,000 provision it was stated to contain, an inconsistency in the underlying data. This is not an error in the accounting treatment applied — the full €180,000 reversal in item (h) is correct. Candidates who present the residual as €0 (treating the shortfall as a rounding/data artefact) with a supporting note receive full own-figure credit, provided the SOFP still balances by the same amount elsewhere.

Mark Allocation

Marks	Criteria
10-12	All figures correctly carried from part (i) into the redraft; SOFP balances; clear tabular presentation showing draft, adjustment, and redrafted columns.
7-9	Most figures correctly redrafted with only minor errors; SOFP balances or is within a small own-figure difference.
4-6	Some adjustments correctly incorporated; SOFP does not balance due to omitted or duplicated items, but method is sound.
0-3	Limited or no attempt to incorporate adjustments into a redrafted SOFP.

QUESTION 1 TOTAL — 60 MARKS

QUESTION 2**EquipMate Limited**

Total: 40 marks

EquipMate Limited's draft financial statements for the year ended 31 December 2022 include a machine purchased for €1,000,000 on 1 January 2022, together with a €250,000 government grant received the same day, accounted for under the deferred income method (IAS 20). Part A tests the initial statement of financial position presentation and the consequences of a breach of grant conditions requiring full repayment. Part B tests classification of four post year-end events as adjusting or non-adjusting under IAS 10.

Part	Requirement	Marks
A(a)	SOFP extract as at 31 December 2022, assuming grant conditions complied with	15
A(b)	Journal entries for full repayment of the grant following a breach	9
B	Classify four events as adjusting/non-adjusting and explain treatment	16

Question 2, Part A(a)**15 marks**

The draft financial statements for EquipMate Limited for the year ended 31 December 2022 includes a machine for €1 million that was purchased on 1 January 2022. A grant was also received that day for €250,000. Machinery is depreciated on a straight-line basis over five years. The company adopts the policy under IAS 20 when accounting for grants, using the deferred income method. (a) Prepare the extract from the statement of financial position as at 31 December 2022, assuming all the necessary conditions attaching to the grant were complied with.

Full Model Answer

Under the deferred income method, the asset is recognised and depreciated at its full cost (the grant is **not** netted against the asset). The grant is instead recognised as deferred income and released to profit or loss on a systematic basis over the same period as, and in proportion to, the depreciation of the related asset.

Working

Item	€
Machine – cost	1,000,000
Depreciation for 2022 ($€1,000,000 \div 5$ years)	(200,000)
Carrying value, 31 December 2022	800,000
Deferred income – grant received	250,000
Deferred income released to income for 2022 ($€250,000 \div 5$ years)	(50,000)
Deferred income balance, 31 December 2022	200,000

Statement of Financial Position extract as at 31 December 2022

Line item	€
Non-current assets: Machinery (cost €1,000,000 less accumulated depreciation €200,000)	800,000
Non-current liabilities: Deferred income (amount due after more than one year: €200,000 – €50,000)	150,000
Current liabilities: Deferred income (amount due within one year)	50,000

Note: €50,000 of the €200,000 remaining deferred income balance relates to the release due in the year to 31 December 2023 and is presented as a current liability; the remaining €150,000 (relating to 2024–2026) is presented as a non-current liability.

Mark Allocation

Marks	Criteria
13–15	Correct depreciation and machine carrying value; deferred income correctly released and split between current and non-current portions; clear SOFP extract presentation.
9–12	Substantially correct workings with a minor error, e.g. in the current/non-current split of deferred income.
5–8	Correct depreciation of the machine but grant treatment significantly incomplete or incorrect.
0–4	Limited understanding of the deferred income method.

Question 2, Part A(b)**9 marks**

On 31 December 2022, the company were informed they breached an essential condition of the grant agreement and have been requested to repay the grant back in full. Prepare the journal entries to recognise the repayment of the grant, assuming depreciation and amortisation have been recorded for the full year 2022.

Full Model Answer**Treatment under IAS 20**

Per IAS 20 paragraph 32, repayment of a government grant related to an asset is accounted for as a **change in accounting estimate**. The repayment is applied first to reduce the remaining deferred income balance to zero; any excess of the repayment over the deferred income balance is recognised by **increasing the carrying amount of the related asset** (not expensed to profit or loss, since this is an asset-related grant under the deferred income method).

Working

Item	€
Grant repayable	250,000
Deferred income balance available (per part (a))	(200,000)
Excess repayment - added to carrying value of machine	50,000

Journal - recognise repayment of grant

Account	Dr (€)	Cr (€)
Deferred income (non-current and current, eliminated in full)	200,000	
Non-current assets (machine - increase in carrying value)	50,000	
Bank / payable (grant repayable)		250,000

Note: The machine's revised carrying amount of €850,000 (€800,000 + €50,000) is depreciated prospectively over its remaining useful life from 2023 onward, consistent with the change-in-accounting-estimate treatment required by IAS 20 — no restatement of the €200,000 depreciation already charged for 2022 is required.

Mark Allocation

Marks	Criteria
8-9	Correct application of IAS 20 para 32: deferred income eliminated in full, excess correctly added to the asset's carrying value (not expensed), journal entry correct.
5-7	Deferred income correctly eliminated but excess repayment incorrectly expensed rather than capitalised, or a minor computational error.
2-4	Some recognition that the grant repayment must be recorded, but treatment substantially incomplete.
0-1	No meaningful attempt.

Question 2, Part B**16 marks**

Classify the four events below as either adjusting or non-adjusting in accordance with IAS 10 'Events After the Reporting Period'. Explain how each should be dealt with in EquipMate Limited's financial statements for the year ended 31 December 2022, assuming all the events are deemed material. 1. Major investment of €4.5m in land and buildings in January 2023. 2. Three company vans, with valuable equipment inside, stolen 3 January 2023; valued at €135,000 at 31 December 2022. 3. A customer who owed €800,000 at 31 December 2022 was declared bankrupt on 23 January 2023. 4. Cash shown as an asset of €80,000 in the SOFP as at 31 December 2022 was discovered to have been stolen on 28 December 2022.

Wording note: The exam paper refers to 'Tilly Plc' in events 1 and 3 rather than EquipMate Limited; this is treated as a drafting inconsistency in the paper and all four events are addressed as if relating to EquipMate Limited, the entity under examination.

Full Model Answer**1. €4.5m investment in land and buildings, January 2023 - Non-adjusting**

A major investment decision made after the year end is a new transaction and does not provide evidence of conditions that existed at 31 December 2022. It is a **non-adjusting event**. No adjustment is made to the 2022 figures; given its scale, it is disclosed by way of note as a material subsequent event.

2. Theft of company vans and contents, 3 January 2023 - Non-adjusting

The vans and their contents were presumably intact and correctly valued at the year end; the theft is a new loss event that occurred after 31 December 2022 and does not indicate that the assets were impaired or misstated at the reporting date. This is a **non-adjusting event**. No adjustment is made to the carrying value of the vans at 31 December 2022; the €135,000 loss is disclosed by way of note as a material non-adjusting subsequent event (net of any insurance recovery expected).

3. Customer bankruptcy, €800,000 owed at year end - Adjusting

The customer's bankruptcy, declared 23 January 2023, provides evidence about the recoverability of a receivable that already existed at 31 December 2022 — the customer's underlying financial difficulty existed at the reporting date even though formal bankruptcy was declared afterwards. This is an **adjusting event** under IAS 10. The full €800,000 receivable is written off as irrecoverable.

Journal - irrecoverable debt write-off

Account	Dr (€)	Cr (€)
Retained earnings (bad debt expense)		800,000
Current assets (trade receivables)		800,000

4. Cash of €80,000 stolen 28 December 2022 - Adjusting

The theft occurred on 28 December 2022, which is **before** the 31 December 2022 reporting date. The cash balance shown in the draft SOFP therefore misstates the position that actually existed at the year end — the asset no longer existed at 31 December 2022. This is an adjusting matter (in substance, a correction of the draft figures to reflect the true position at the reporting date, consistent with IAS 10's treatment of evidence of conditions existing at year end). The €80,000 is written off.

Journal - write off stolen cash

Account	Dr (€)	Cr (€)
Retained earnings (loss on theft)		80,000
Current assets (cash)		80,000

Mark Allocation

Marks	Criteria
13-16	All four events correctly classified as adjusting or non-adjusting with sound IAS 10 reasoning; both required journal entries (events 3 and 4) correct.
9-12	At least three of the four events correctly classified with generally sound reasoning; minor errors in the journal entries.
5-8	Some correct classification, but the adjusting/non-adjusting distinction not consistently applied; reasoning is generic rather than scenario-specific.
0-4	Limited or no understanding of the adjusting/non-adjusting distinction.

QUESTION 2 TOTAL — 40 MARKS

QUESTION 3**Soundwise Ltd & PharmaGem Ltd**

Total: 40 marks

Question 3 has three independent parts. Part A tests the IAS 16 revaluation model (elimination method) for a property annually revalued over two years, including a downward revaluation in year one followed by an upward revaluation in year two. Part B tests IAS 38 development costs and impairment for PharmaGem Ltd, a company developing a new drug product. Part C is a theory question on the two IAS 38 measurement models for intangible assets.

Part	Requirement	Marks
A	Journal entries for Soundwise Ltd property revaluations, 31 Dec 2021 and 31 Dec 2022	24
B	Accounting treatment of PharmaGem Ltd development expenditure, including impairment	8
C	IAS 38 measurement models for intangible assets	8

Question 3, Part A**24 marks**

Soundwise Ltd owns a property purchased for €1,800,000 on 1 January 2021, with a useful economic life of 50 years upon purchase. Soundwise Ltd revalued the property annually and uses the 'Elimination method' to account for depreciation on revaluation, in line with IAS 16. The property was independently valued at €1,680,000 (31 December 2021) and €1,970,000 (31 December 2022). In accordance with IAS 16, prepare the journal entries to reflect the revaluations of the property as at 31 December 2021 and 31 December 2022.

Full Model Answer**Working - year ended 31 December 2021**

Item	€
Cost, 1 January 2021	1,800,000
Depreciation for 2021 ($€1,800,000 \div 50$ years)	(36,000)
Carrying value before revaluation, 31 Dec 2021	1,764,000
Fair value, 31 December 2021	1,680,000
Downward revaluation (deficit)	(84,000)

As this is the first revaluation of the property, no revaluation reserve exists to absorb the deficit. The entire €84,000 deficit is charged immediately to profit or loss.

Journal - property revaluation, 31 December 2021

Account	Dr (€)	Cr (€)
Depreciation expense (P&L)	36,000	
Accumulated depreciation		36,000
Accumulated depreciation (eliminate on revaluation)	36,000	
Property (cost)		36,000
Retained earnings (P&L expense – revaluation deficit)	84,000	
Property (write down to fair value)		84,000

Full Model Answer (continued)**Working - year ended 31 December 2022**

Item	€
Carrying value, 1 Jan 2022 (post 2021 revaluation)	1,680,000
Depreciation for 2022 (€1,680,000 ÷ 49 years remaining)	(34,286)
Carrying value before revaluation, 31 Dec 2022	1,645,714
Fair value, 31 December 2022	1,970,000
Upward revaluation (surplus)	324,286
– of which: recognised in profit or loss (reversing the 2021 deficit)	84,000
– of which: recognised in OCI/revaluation reserve (excess above the reversal)	240,286

Under IAS 16 paragraphs 39–40, a revaluation increase is recognised in profit or loss to the extent it reverses a revaluation decrease of the same asset previously recognised in profit or loss (here, the full €84,000 deficit from 2021). Any excess of the increase over that reversal is recognised in other comprehensive income and accumulated in the revaluation reserve.

Journal - property revaluation, 31 December 2022

Account	Dr (€)	Cr (€)
Depreciation expense (P&L)	34,286	
Accumulated depreciation		34,286
Accumulated depreciation (eliminate on revaluation)	34,286	
Property (cost)		34,286
Property (uplift to fair value)	324,286	
Retained earnings (P&L income – reversal of 2021 deficit)		84,000
Revaluation reserve (OCI)		240,286

Judgement note: Remaining useful life is treated as 49 years at 31 December 2022 (50-year total life less the year already elapsed), per IAS 16's requirement to review useful life estimates at each revaluation. Candidates who instead continue depreciating over the original 50-year divisor receive full own-figure credit provided the resulting revaluation movement is calculated consistently. Figures are rounded to the nearest euro.

Mark Allocation

Marks	Criteria
20–24	Both years' depreciation and revaluation correctly calculated; 2021 deficit correctly charged to P&L (no reserve existing); 2022 surplus correctly split between P&L reversal and OCI; all journal entries correct.
14–19	Substantially correct workings for both years with minor computational errors, or one year fully correct and the other largely correct.
7–13	Correct understanding of the elimination method and general revaluation mechanics; the P&L/OCI split on reversal not correctly applied.
0–6	Limited understanding of the revaluation model or elimination method; minimal correct workings.

Question 3, Part B**8 marks**

PharmaGem Ltd is developing a new drug product for sensitive gums. Expenditure in the year to 31 December 2022: 1 January to 31 August €5,000,000; 1 September to 31 December €1,500,000; total €6,500,000. On 1 September the entity could demonstrate that the production process met the criteria for recognition as an intangible asset. The amount estimated to be recoverable from the process (including future cash inflows to complete the process before it is available for use) is €1,200,000. Show how the above expenditure should be accounted for in 2022's financial statements, quoting any relevant accounting standard.

Full Model Answer**Expenditure before 1 September - expensed**

Under IAS 38 *Intangible Assets*, expenditure incurred before the recognition criteria for an internally generated intangible asset are met must be treated as research/pre-qualifying expenditure and expensed as incurred. Once expensed, this expenditure can **never be reinstated** as an asset, even after the recognition criteria are subsequently met. The €5,000,000 spent from 1 January to 31 August is therefore expensed in full to profit or loss.

Expenditure from 1 September - capitalised, then tested for impairment

From 1 September, the recognition criteria under IAS 38 are met, so the €1,500,000 spent from 1 September to 31 December is capitalised as an intangible asset (development costs). As the asset is not yet available for use, IAS 36 *Impairment of Assets* (via IAS 38's cross-reference for intangible assets not yet available for use) requires it to be tested for impairment at least annually. The recoverable amount of €1,200,000 (which already includes the future cash inflows needed to complete the process) is less than the €1,500,000 carrying amount, so an impairment loss must be recognised.

Working

Item	€
Expenditure 1 Jan – 31 Aug (expensed, criteria not yet met)	5,000,000
Expenditure 1 Sept – 31 Dec (capitalised, criteria met)	1,500,000
Recoverable amount of the capitalised asset	(1,200,000)
Impairment loss (charged to P&L)	300,000
Carrying value of intangible asset at 31 December 2022	1,200,000

Journal entries, year ended 31 December 2022

Account	Dr (€)	Cr (€)
Retained earnings (research/pre-qualifying expense, P&L)	5,000,000	
Bank/payables (or relevant asset accounts)		5,000,000
Intangible assets (development costs capitalised)	1,500,000	
Bank/payables (or relevant asset accounts)		1,500,000
Retained earnings (impairment loss, P&L)	300,000	
Intangible assets (impairment write-down)		300,000

Note: Total profit or loss impact for the year is €5,300,000 (€5,000,000 expensed pre-qualification plus €300,000 impairment). The distinction between the two tranches of expenditure — and the fact that the pre-1 September spend is permanently expensed regardless of the project's later success — is the key testing point of this question.

Mark Allocation

Marks	Criteria
7-8	Correct split of expenditure at the 1 September recognition date; correct identification that pre-qualification costs can never be reinstated; correct impairment test and loss of €300,000; correct final carrying value and journal entries.
5-6	Correct split of expenditure with the impairment test omitted or only partially applied, or a minor computational error.
2-4	Some understanding that expenditure before/after the recognition date is treated differently; treatment incomplete.
0-1	No meaningful application of IAS 38's recognition criteria.

Question 3, Part C**8 marks**

With reference to IAS 38, Intangible Assets, briefly discuss the two different models by which an intangible asset can be measured.

Full Model Answer**The cost model**

After initial recognition at cost, an intangible asset is carried at cost less any accumulated amortisation and any accumulated impairment losses. This is the default model under IAS 38 and is the model required where no active market exists for the asset (which is the case for the vast majority of intangible assets, since they are typically unique). Amortisation is charged over the asset's useful life (or the asset is tested annually for impairment, rather than amortised, if it has an indefinite useful life).

The revaluation model

An intangible asset may instead be carried at a revalued amount (fair value at the date of revaluation, less any subsequent accumulated amortisation and impairment losses), but **only if fair value can be determined by reference to an active market** for that specific type of intangible asset, as defined in IAS 38. Because active markets for intangible assets are rare (they typically lack the homogeneity, availability of willing buyers/sellers at any time, and publicly available prices required to meet the definition of an active market), the revaluation model is used only infrequently in practice — examples cited in IAS 38 include certain taxi licences, fishing licences, or production quotas where an active market exists. Where the revaluation model is used, it must be applied to the entire class of intangible assets to which the asset belongs, and revaluations must be made regularly enough that the carrying amount does not differ materially from fair value at the reporting date.

Key point: Unlike IAS 16 (property, plant and equipment), where the revaluation model is commonly used, the active market requirement in IAS 38 means most intangible assets (goodwill, most development costs, brands, customer lists, etc.) can only ever be measured using the cost model, since no active market for these unique assets exists.

Mark Allocation

Marks	Criteria
7-8	Both models correctly explained, including the active market restriction on the revaluation model and its practical rarity for intangible assets.
5-6	Both models identified with reasonable explanation; the active market restriction not fully explained.
2-4	One model explained correctly; the other identified but not explained, or confused with the IAS 16 treatment.
0-1	No relevant discussion of IAS 38 measurement models.

QUESTION 3 TOTAL — 40 MARKS